

HOUSE BILL 439

By Hulsey

AN ACT to amend Tennessee Code Annotated, Title 9,
relative to precious metals.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 9-4-211(a)(1), is amended by deleting the subdivision and substituting instead the following:

(1) There is created on the books and records of the state treasury a reserve account in the general fund to be known as the "reserve for revenue fluctuations." The funds in this account may be used from time to time, as provided in this section, to meet unexpected shortfalls of revenue, to meet expenditure requirements in excess of budgeted appropriation levels, or to fund the purchase and sale of precious metal bullion or specie.

SECTION 2. Tennessee Code Annotated, Section 9-4-211, is amended by adding the following new subsection:

(e) There is created in the reserve for revenue fluctuations account a restricted account for the purchase and sale of precious metal bullion or specie. It is the legislative intent that there is an initial transfer from the reserve for revenue fluctuations account to the restricted account of not less than one percent (1%), but no more than three percent (3%), of the total funds in the reserve for revenue fluctuations account as of July 1, 2025. On an annual basis thereafter, the restricted account must be valued based on the total funds in the reserve for revenue fluctuations account that may result in additional transfers from the reserve account to the restricted account.

SECTION 3. Tennessee Code Annotated, Section 9-4-612(c), is amended by adding the following new subdivision:

(3) Precious metal bullion or specie. For purposes of this subdivision (c)(3):

(A) "Bullion" means a precious metal that is formed into uniform shapes and quantities such as ingots, bars, or plates, with uniform content and purity, as are suitable for or customarily used in the purchase, sale, storage, transfer, and delivery of bulk or wholesale transactions in precious metal;

(B) "Precious metal" means gold, silver, platinum, or palladium; and

(C) "Specie" means a precious metal stamped into coins of uniform shape, size, design, content, and purity, suitable for or customarily used as currency, as a medium of exchange, or as the medium for purchase, sale, storage, transfer, or delivery of precious metal in retail or wholesale transactions.

SECTION 4. Tennessee Code Annotated, Section 9-4-612, is amended by adding the following new subsections:

(i) Notwithstanding the state treasurer's discretionary investment authority pursuant to subsection (a), the state treasurer, with the approval of the comptroller of the treasury, shall:

(1) Purchase and sell precious metal bullion or specie that will be directly owned by the state, and in the custody of the state treasurer; and

(2) Establish and adopt investment policies or guidelines, which shall include, but not be limited to, quality standards and purity levels for the precious metal.

(j) The funds for the purchase and sale of precious metal bullion or specie must come from the reserve for revenue fluctuations account under § 9-4-211 and be placed in a restricted account within the reserve account. Any funds remaining in the restricted

account at the end of any fiscal year must be carried forward in the restricted account and remain available for the purposes of the purchase and sale of precious metal bullion and specie. The income, gains, and losses from the investment in precious metal bullion and specie must remain in the restricted account and must be accounted for separately from other investments made pursuant to this section.

(k) The state treasurer, with the approval of the comptroller of the treasury, may make and enter into contracts, trust instruments, agreements, trade agreements, warrants, and other instruments with a person to effectuate this section, including, but not limited to, financial institutions, brokers, dealers, securities markets and exchanges, accountants, auditors, attorneys, consultants, the entity described in subsection (m), and other contractors. Procurements may be made in a manner prescribed by the state treasurer with the approval of the comptroller of the treasury without regard to the requirements contained in title 12, chapter 3. For the purposes of procuring precious metal bullion or specie as an investment pursuant to this section, the precious metal bullion and specie are not considered goods, as defined in § 12-3-201, and therefore, not subject to § 4-56-107.

(l) The state treasurer, with the approval of the comptroller of the treasury, shall ensure that the precious metal bullion or specie is securely maintained and transported, adequately insured, independently audited, and physically segregated from the other assets custodied at the financial institution or other entity described in subsection (m). The expenses referenced in this subsection (l) may be charged to the earnings of the general fund balances in the state pooled investment fund or to funds available in the revolving accounts established in §§ 9-4-603(g) and 9-4-612(g).

(m) The physical precious metal purchased under this section must be custodied by the state treasurer in a financial institution as defined in § 45-11-102, or in an entity

designated by the state treasurer with the approval of the comptroller of the treasury.

(n) The records, documents, and papers in the possession of the treasury department or any other state agency containing the following information relative to the precious metal bullion or specie purchased, sold, and maintained in accordance with subsections (i) through (m), must be treated as confidential and must not be open for inspection by members of the public:

(1) Location;

(2) Custody;

(3) Maintenance;

(4) Transportation;

(5) Insurance;

(6) Procurement processes;

(7) Proposals relative to the procurement of goods or services, and related records, including, but not limited to, evaluations, notices, communications, memoranda;

(8) Procurement solicitations, requests for quotes, and requests submitted to the state's central procurement office for the procurement of goods and services;

(9) Contracts, agreements, warrants, confirmations; and

(10) Security, including, but not limited to, alarm systems; security codes; access codes; passwords; security procedures and protocols; security and vulnerability testing; business continuity plans and testing; disaster recovery plans and testing; and audit reports.

SECTION 5. Tennessee Code Annotated, Title 9, Chapter 1, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Coins" means:

(A) Precious metal fabricated into products of uniform shape, size, design, content, weight, and purity that are suitable for or customarily used as currency, as a medium of exchange, or as the medium for purchase, sale, storage, transfer, or delivery of precious metal in retail or wholesale transactions; or

(B) Refined precious metal bullion, stamped or imprinted with its weight and purity and valued primarily based on its metal content and not its form;

(2) "Legal tender" means a recognized medium of exchange for the payment of debts and taxes;

(3) "Person" means an individual; state, local government, political subdivision, or any agent or agency thereof; company; corporation; partnership; firm; trust; organization; or association; and

(4) "Precious metal" means gold and silver.

(b) Precious metal coins are legal tender in this state.

(c) A person shall not compel another person to use or accept precious metal coins as legal tender, unless expressly authorized by law or contract.

(d) The state treasurer may transact, transmit, or exchange precious metal coins through any one (1) or a combination of:

(1) Physical means;

(2) Electronic means; or

(3) Written instruction.

(e) The state, or a department or agency of state government, may, but is not required to, accept payment of taxes, fees, debts, or obligations in precious metal coins.

SECTION 6. This act takes effect upon becoming a law, the public welfare requiring it.